L'Oreal (OREP.PA)

Gucci Beauty, L'Oréal's next billionaire brand?

OREP.PA	12m Price Target: **€435.00**	Price: **€388.35**	Upside: **12.0%**

What's New? Gucci and Coty have agreed to bring forward the redemption date of their licence agreement to July 1st 2027 from July 1st 2028 previously. Coty (covered by Bonnie Herzog) will receive a c$400m early redemption consideration, with $250m paid in 2026, and up to $150m in 2027. L'Oréal will bear c.70% of the early redemption cost alongside an additional undisclosed amount for selected inventories. Under the L'Oréal and Kering Beauté deal which closed on March 31st 2026, L'Oréal acquired *House of Creed*, alongside 50-year licences for *Bottega Veneta* and *Balenciaga* with *Gucci* from 2028. The new agreement is subject to customary regulatory approvals.

What potential does Gucci have? We look to L'Oréal's strong track record of growing Couture brands including *Yves Saint Laurent*, *Prada* and *Valentino*. *YSL* is the most notable example, with L'Oréal growing sales from €300m to >€3bn since 2008, and the brand reaching c€1bn after 9 years. *YSL* beauty is now larger than the fashion house, and other brands including *Armani* have also achieved significant scale relative to their fashion businesses. We estimate that *Gucci* generates c€500m in sales, with L'Oréal Luxe's president highlighting that they are set to build a multi-billion-euro house with *Gucci* based on the group's strong track record.

What impact could this have on our estimates? On a pro-forma basis, the early redemption would drive a c0.5% uplift to our FY27 estimates, excluding any impact from inventory purchases. Given L'Oréal's strong balance sheet (0.7x Net Debt/EBITDA FY26 GSe), we do not view the additional c$280m (€245m) payment, or the inventory purchases, as a concern. In our view, the Gucci licence was the main rationale for the Kering deal, and it could add c.50bps to L'Oréal organic sales growth in the coming years, helping the group reach 6% organic sales growth in the mid-term, all else equal. L'Oreal will report Q2 results on 29 July (here) where we expect 5.8% underlying organic sales growth, slightly ahead of consensus.

BUY

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Key Data

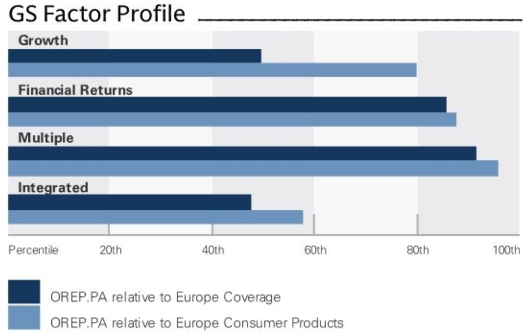
Market cap: €217.1bn / $248.3bn
Enterprise value: €225.2bn / $257.5bn
3m ADTV: €173.9mn / $202.0mn
France
Europe Consumer Products
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (€ mn)	44,051.9	47,197.1	49,698.3	52,902.2
EBIT (€ mn)	8,892.0	9,626.0	10,282.1	11,090.0
EPS (€)	12.71	13.97	15.14	16.58
P/E (X)	28.9	27.8	25.7	23.4
EV/EBITDA (ex lease,X)	18.3	18.4	17.0	15.5
Dividend yield (%)	2.0	1.9	2.0	2.0
FCF yield (%)	3.4	3.1	3.6	4.0
CROCI (%)	34.8	35.0	36.9	39.6
N debt/EBITDA (ex lease,X)	0.0	0.5	0.3	(0.0)

	6/25	12/25	6/26E	12/26E
EPS (€)	7.07	5.65	7.63	6.34

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

BUY

L'Oreal (OREP.PA)

Rating since Sep 29, 2020

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
EV/sales (X)	4.5	4.6	4.3	3.9
EV/EBITDAR (X)	18.5	18.6	17.2	15.6
EV/EBITDA (excl. leases) (X)	18.3	18.4	17.0	15.5
EV/EBIT (X)	22.3	22.3	20.6	18.7
P/E (X)	28.9	27.8	25.7	23.4
Dividend yield (%)	2.0	1.9	2.0	2.0
EV/GCI (X)	7.8	8.3	8.2	8.0
CROCI (%)	34.8	35.0	36.9	39.6
ROIC (%)	27.8	28.8	30.7	33.3
ROA (%)	11.8	11.7	11.7	11.9
Days inventory outst, sales	38.0	36.5	36.8	36.3
Asset turnover (X)	7.4	8.1	8.7	9.5
Capex/D&A (%)	82.3	94.5	94.5	94.5
Net debt/equity (excl. leases) (%)	0.7	16.7	8.1	(0.5)
EBIT interest cover (X)	234.0	22.8	23.0	24.8
FCF cover of dividends (X)	1.7	1.6	1.8	1.9

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	1.3	7.1	5.3	6.4
EBITDA growth	1.6	8.1	6.6	7.6
EBIT growth	2.4	8.3	6.8	7.9
Net inc. growth	(4.4)	13.8	8.7	10.1
EPS growth	0.4	9.9	8.3	9.6
DPS growth	2.9	2.8	2.7	3.5

Price Performance

	3m	6m	12m
Absolute	10.7%	9.1%	4.2%
Rel. to the FTSE World Europe (EUR)	0.9%	1.8%	(12.8)%

Source: FactSet. Price as of 7 Jul 2026 close.

Income Statement (€ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	44,051.9	47,197.1	49,698.3	52,902.2
Total operating expenses	(34,654.5)	(37,065.8)	(38,910.8)	(41,306.8)
R&D	–	–	–	–
Other operating inc./(exp.)	(505.4)	(505.4)	(505.4)	(505.4)
EBITDA	**10,709.4**	**11,573.1**	**12,332.4**	**13,272.5**
Depreciation & amortisation	(1,817.4)	(1,947.2)	(2,050.3)	(2,182.5)
EBIT	**8,892.0**	**9,626.0**	**10,282.1**	**11,090.0**
Net interest inc./(exp.)	(236.1)	(253.4)	(190.7)	(85.5)
Income/(loss) from associates	351.9	361.7	373.3	385.3
Profit/(loss) on disposals	–	–	–	–
Total other net	–	–	–	–
Pre-tax profit	**9,007.8**	**9,734.3**	**10,464.7**	**11,389.8**
Provision for taxes	(2,187.9)	(2,433.6)	(2,616.2)	(2,847.4)
Minority interest	(13.8)	178.5	239.7	308.1
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**6,806.1**	**7,479.3**	**8,088.2**	**8,850.4**
Post-tax exceptionals	(679.2)	(505.4)	(505.4)	(505.4)
Net inc. (post-exceptionals)	**6,126.9**	**6,973.9**	**7,582.8**	**8,345.0**
EPS (basic, pre-except) (€)	**12.75**	**14.03**	**15.21**	**16.68**
EPS (basic, post-except) (€)	**11.48**	**13.08**	**14.26**	**15.73**
Wtd avg shares out. (basic) (mn)	533.7	533.0	531.7	530.5
Tax rate (%)	24.3	25.0	25.0	25.0
Common dividends declared	3,854.6	3,960.4	4,061.3	4,197.3
DPS (€)	7.20	7.40	7.60	7.87

Balance Sheet (€ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	9,865.1	5,612.6	8,575.0	12,083.0
Accounts receivable	5,500.3	6,041.2	6,262.0	6,559.9
Inventory	4,543.3	4,908.5	5,118.9	5,396.0
Other current assets	2,289.8	2,289.8	2,289.8	2,289.8
Total current assets	**22,198.5**	**18,852.1**	**22,245.7**	**26,328.7**
Net PP&E	5,875.1	5,768.6	5,656.5	5,537.2
Net intangibles	19,541.7	19,541.7	19,541.7	19,541.7
Total investments	376.0	562.8	810.8	1,127.2
Other long-term assets	13,830.0	21,830.0	21,830.0	21,830.0
Total assets	**61,821.3**	**66,555.3**	**70,084.7**	**74,364.7**
Accounts payable	6,727.7	7,174.0	7,653.5	8,252.7
Short-term debt	2,048.9	2,048.9	2,048.9	2,048.9
Short-term lease liabilities	434.5	434.5	434.5	434.5
Other current liabilities	6,155.4	6,155.4	6,155.4	6,155.4
Total current liabilities	**15,366.5**	**15,812.8**	**16,292.3**	**16,891.5**
Long-term debt	8,069.7	9,819.7	9,819.7	9,819.7
Long-term lease liabilities	1,362.9	1,362.9	1,362.9	1,362.9
Other long-term liabilities	2,018.3	2,018.3	2,018.3	2,018.3
Total long-term liabilities	**11,450.9**	**13,200.9**	**13,200.9**	**13,200.9**
Total liabilities	**26,817.4**	**29,013.7**	**29,493.2**	**30,092.4**
Preferred shares	--	--	--	--
Total common equity	**34,953.3**	**37,491.0**	**40,540.9**	**44,221.7**
Minority interest	**50.6**	**50.6**	**50.6**	**50.6**
Total liabilities & equity	**61,821.3**	**66,555.3**	**70,084.7**	**74,364.7**
Capital employed	**45,122.5**	**49,410.2**	**52,460.1**	**56,140.9**
Adj for unfunded pensions & GW	–	–	–	–

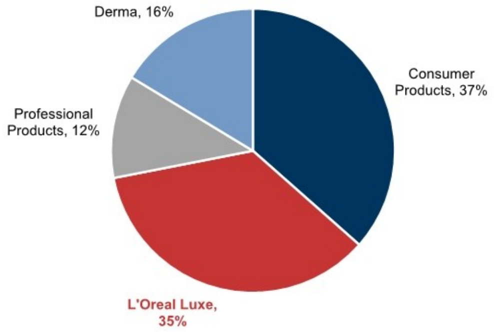
Cash Flow (€ mn)

	12/25	12/26E	12/27E	12/28E
Net income	6,126.9	6,973.9	7,582.8	8,345.0
D&A add-back	1,817.4	1,947.2	2,050.3	2,182.5
Minority interest add-back	6.5	8.3	8.3	8.3
Net (inc)/dec working capital	327.4	(459.9)	48.4	24.2
Other operating cash flow	378.4	(186.8)	(248.0)	(316.4)
Cash flow from operations	**8,656.6**	**8,282.7**	**9,441.8**	**10,243.7**
Capital expenditures	(1,495.3)	(1,840.7)	(1,938.2)	(2,063.2)
Acquisitions	–	–	–	–
Divestitures	5.7	–	–	–
Others	82.4	(8,000.0)	–	–
Cash flow from investing	**(1,407.2)**	**(9,840.7)**	**(1,938.2)**	**(2,063.2)**
Repayment of lease liabilities	(453.6)	–	–	–
Dividends paid (common & pref)	(3,917.0)	(3,944.5)	(4,041.2)	(4,172.5)
Inc/(dec) in debt	3,425.0	1,750.0	–	–
Other financing cash flows	(452.2)	(500.0)	(500.0)	(500.0)
Cash flow from financing	**(1,397.8)**	**(2,694.5)**	**(4,541.2)**	**(4,672.5)**
Total cash flow	**5,812.4**	**(4,252.5)**	**2,962.4**	**3,508.0**
Reinvestment rate (%)	18.0	21.1	20.6	20.2

Source: Company data, Goldman Sachs Research estimates.

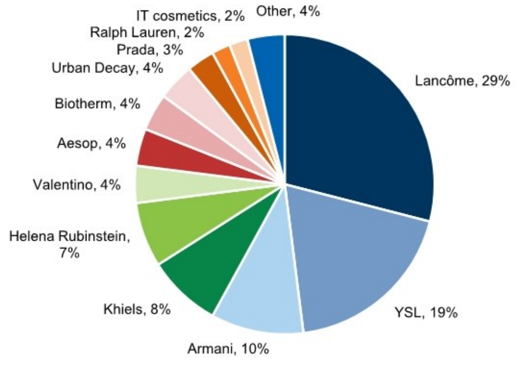
L'Oréal Luxe in 6 Key Charts

Exhibit 1: L'Oréal Luxe accounts for 35% of group sales
L'Oréal sales by division, 2025



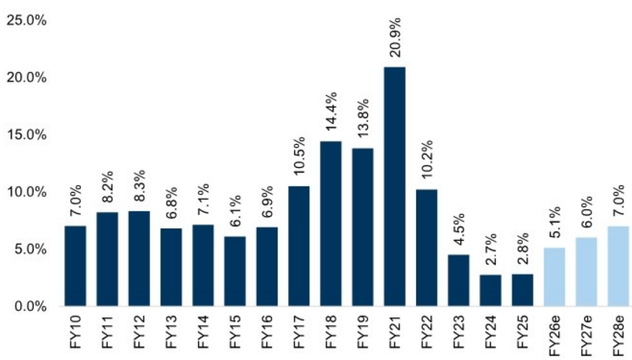
Source: Company data

Exhibit 2: Lancome is the largest L'Oréal Luxe brand, followed by YSL and Armani
L'Oréal Luxe sales by brand, 2025



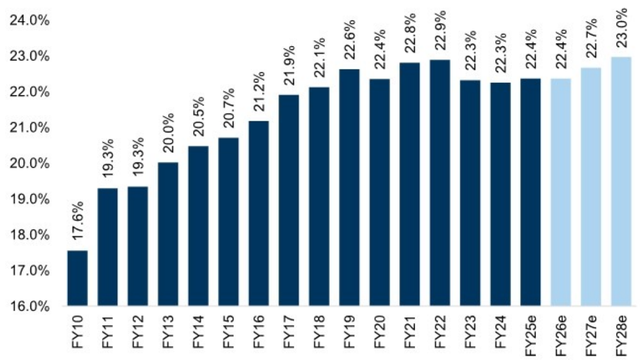
Source: Company data, Euromonitor, Goldman Sachs Global Investment Research

Exhibit 3: We expect L'Oréal Luxe to return to its high-single-digit growth algorithm
L'Oréal Luxe Organic Sales Growth



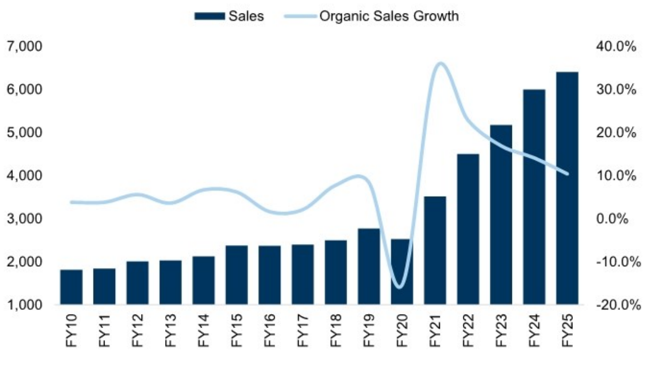
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: L'Oréal Luxe margin has been under pressure since FY23
L'Oréal Luxe Adjusted EBIT margin



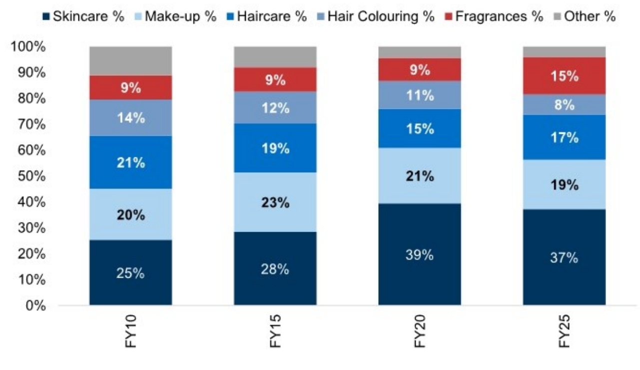
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: The fragrance business was 3.5x larger in FY25 vs FY10
L'Oréal fragrance sales (EURm) and organic sales growth



Source: Company data

Exhibit 6: Fragrance now accounts for 15% of annual sales vs 9% in FY10
L'Oréal group sales by category



Source: Company data

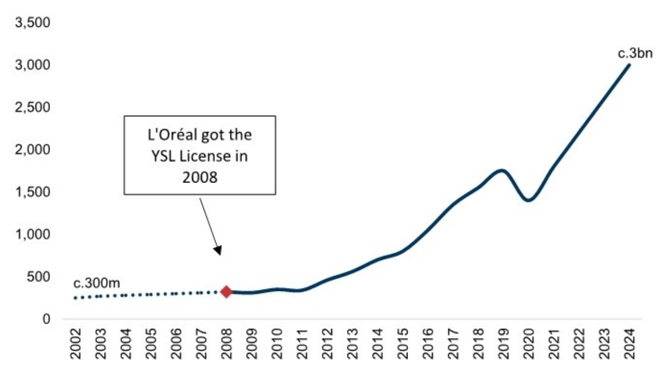
L'Oréal has a strong track record with couture brands

L'Oréal has successfully grown the beauty business of a number of Couture brands, including *YSL*, *Valentino* and *Prada*. L'Oréal entered into an agreement with PPR (now Kering) in 2008 for a very long-term exclusive worldwide licence for *Yves Saint Laurent*. At the time, the *YSL* Beauté business generated c€300m in sales, and L'Oréal has since scaled the brand to c€3bn, reaching c€1bn after 9 years, with the beauty business including fragrances now larger than the fashion house. Similarly, *Armani* beauty is c70% the size of the fashion house, and *Valentino* and *Prada* sales are 15x/3.5x larger respectively, than at the start of the licence. L'Oréal Luxe's president has highlighted that with the combination of *Gucci's* brand position and L'Oréal operational excellence, they are set to build a multi-billion-euro house. Between 2015 and 2026, the division grew at a 9.3% CAGR vs the market at 6.3%; however the market is now growing c2-3%, and the division typically outperforms the market. They are particularly confident in the ability of the division's fragrance business to grow two to three times the market even if the market slows.

Exhibit 7: There is significant headroom for Gucci beauty to grow at least to the size of YSL
Fashion House vs Beauty sales for key L'Oréal Luxe brands and Gucci

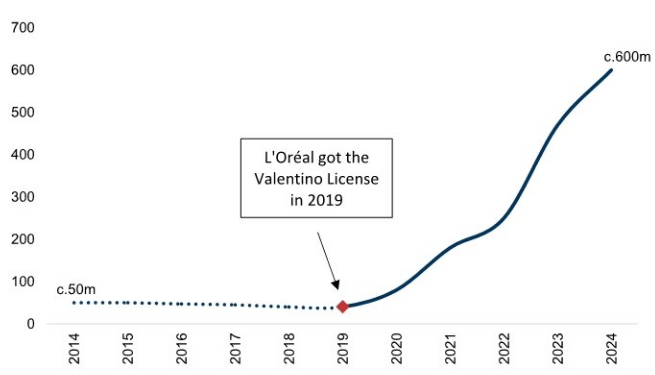
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: YSL beauty is c10x the size than it was at the beginning of the license
YSL sales 2002-2024 (€mn)



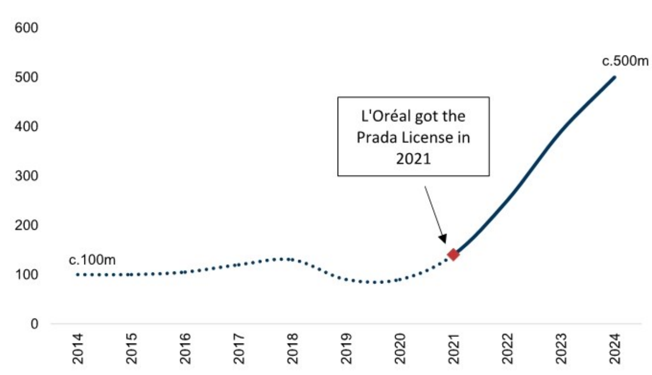
Source: Company data

Exhibit 9: Valentino now generates €600m in sales vs <€50m in 2019
Valentino sales 2014-2024 (€mn)



Source: Company data

Exhibit 10: Prada grew 3.5x over 2021-24
Prada sales 2014-2024 (€ mn)



Source: Company data

What to expect at Q2 results ?

We expect +5.8% adjusted organic sales growth in Q2, ahead of company-compiled consensus estimates at +5.6%, with a minimal impact from FX. By division, we expect underlying growth to be driven by Professional Products (+12%) and Dermatological Beauty (+8.2%), while remaining slightly more cautious on Consumer Products (+3.1%). By region, we anticipate SAPMENA-SSA and North America will drive growth, while Latin America and North Asia are softer. We expect group EBIT margin to be flat yoy in H1.

Exhibit 11: Q2/H1 26 GSe vs Company-compiled and Visible Alpha Consensus Data

		Q2 25	1H 25	Q2 26e		GSe vs Cons	1H 26e		GSe vs Cons
				GSe	Cons.		GSe	Cons.	
Net sales									
Professional Products	EURm	1,269	2,547	1,547	1,431	8.1%	3,009	2,893	4.0%
Consumer Products	EURm	4,134	8,413	4,227	4,219	0.2%	8,595	8,587	0.1%
L'Oréal Luxe	EURm	3,565	7,658	4,051	3,896	4.0%	8,158	8,002	1.9%
Dermatological Beauty	EURm	1,770	3,856	1,952	1,898	2.8%	4,167	4,113	1.3%
Group	**EURm**	**10,739**	**22,473**	**11,778**	**11,467**	**2.7%**	**23,930**	**23,619**	**1.3%**
Adjusted organic sales growth									
Professional Products*	%	8.4%	7.2%	12.0%	9.6%	239bps	12.5%	11.3%	119bps
Consumer Products*	%	3.6%	2.3%	3.1%	3.6%	(51bps)	3.6%	3.8%	(25bps)
L'Oréal Luxe*	%	2.5%	2.6%	6.2%	5.6%	59bps	5.9%	5.6%	27bps
Dermatological Beauty*	%	6.1%	3.7%	8.2%	7.3%	87bps	9.3%	8.9%	40bps
Group	**%**	**4.2%**	**3.2%**	**5.8%**	**5.6%**	**27bps**	**6.3%**	**6.2%**	**13bps**
Adjusted organic sales growth									
Europe*	%	3.8%	3.8%	5.8%	5.0%	73bps	5.6%	5.3%	35bps
North America*	%	3.3%	1.8%	6.8%	5.9%	91bps	7.2%	6.8%	44bps
North Asia*	%	0.7%	-0.4%	4.6%	4.9%	(27bps)	4.7%	4.8%	(12bps)
Latin America*	%	10.0%	9.0%	3.7%	5.0%	(136bps)	4.4%	5.1%	(69bps)
SAPMENA - SSA*	%	13.7%	10.6%	12.5%	9.5%	302bps	14.0%	12.6%	143bps
Sales									
Europe	%	3,620	7,534	3,832	3,726	2.9%	8,197	8,091	1.3%
North America	%	2,852	5,824	3,182	2,966	7.3%	6,214	5,998	3.6%
North Asia	%	2,440	5,393	2,932	2,729	7.4%	5,619	5,416	3.7%
Latin America	%	848	1,664	906	915	-1.0%	1,764	1,773	-0.5%
SAPMENA - SSA	%	979	2,058	1,167	1,047	11.5%	2,377	2,257	5.3%
Operating Profit									
Professional Products	EURm		572				696	659	5.7%
Consumer Products	EURm		1,894				1,935	1,934	0.0%
L'Oréal Luxe	EURm		1,709				1,796	1,791	0.3%
Dermatological Beauty	EURm		1,087				1,200	1,157	3.7%
Group	**EURm**		**4,740**				**5,041**	**5,011**	**0.6%**
Operating Profit Margin									
Professional Products	EURm		22.4%				23.1%	22.8%	37bps
Consumer Products	EURm		22.5%				22.5%	22.5%	(1bps)
L'Oréal Luxe	EURm		22.3%				22.0%	22.4%	(36bps)
Dermatological Beauty	EURm		28.2%				28.8%	28.1%	68bps
Group	**EURm**		**21.1%**				**21.1%**	**21.2%**	**(15bps)**
Adjusted Net Income	**EURm**		**3,369**				**3,816**	**3863**	**-1.2%**
Diluted Adjusted EPS	**EUR/share**		**7.07**				**7.63**	**7.53**	**1.3%**

*Company-compiled consensus

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Valuation and Risks

Valuation methodology: We are Buy rated. Our 12-month price target of €435 is derived from a blended DCF and multiple approach, each carrying a 50% weighting. Our DCF assumes a 7.1% WACC and 2.5% terminal growth, implying an intrinsic value of €441/share. Our multiples-based approach applies a 28x P/E multiple to our Q5-Q8 EPS estimates and implies a value of €434/share. We round to get to our PT of €435.

Key risks to our view and price target include: (1) A slower-than-expected recovery in China post Daigou policy changes. **(2)** A slowdown in the US from macro headwinds or consumer trends driving challenging conditions in the beauty market. **(3)** The shift to digital driving market share losses for L'Oréal as the barriers to entry are lowered. **(4)** FX volatility and overall consumer demand in key markets.

Disclosure Appendix

Reg AC

We, Olivier Nicolaï, Aron Adamski, Rebecca Ayo-Adebanjo, Sam Darbyshire, CFA, Tom Hulls and Srikar Medisetti, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

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Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
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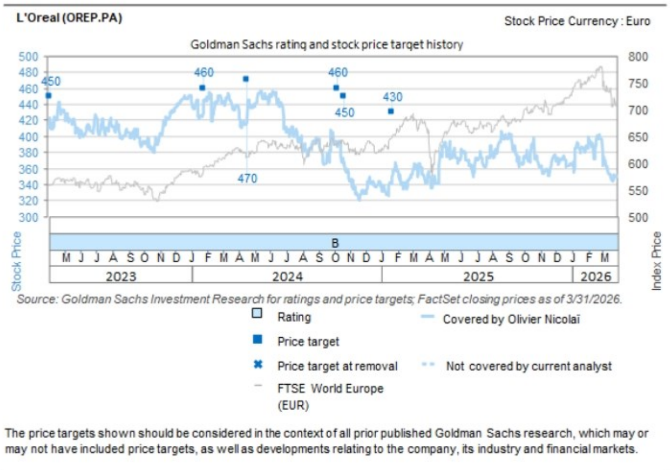
Price target and rating history chart(s)



Target price history table(s)
L'Oreal (OREP.PA)

Date of report	Target price (€)	Closing price (€)
23-Apr-26	435.00	375.85
21-Jan-25	430.00	341.20
22-Oct-24	450.00	367.25
08-Oct-24	460.00	386.90
19-Apr-24	470.00	444.95
24-Jan-24	460.00	429.00

Price targets shown in table(s) are unadjusted for corporate actions.

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